Investing Uncertainty

Whether investing in stocks or mutual funds (MFs), you should always invest for the long term. Nobody knows exactly how long the long term is. The belief is that an investor with a longer time horizon to accumulate wealth can tolerate more risk than one nearing or in retirement. What is often not stressed is that investors have different time horizons based on their individual investment goals, which means some goals aren't necessarily far away. Moreover, as time passes, a long-term goal also moves closer to a shorter time frame. So, instead of timing the market, you stay invested to capture long-term growth, compound returns and reinvested dividends.

However, you can't choose what the market offers. The BSE Sensex hit a high of 85,571 on September 27, 2024, then fell for the next 15 months before reaching that level again on January 2, 2026. Since then, the index hasn't regained that level yet as of September 2026. Someone who commenced his investment journey in September 2024 hasn't really witnessed any market gains. An expert will convince you that this is a short-term phenomenon, and that markets reward investors who stay invested for the long run.

In March 1992, the BSE Sensex peaked at 4,285, and it almost made a full circle, reaching that level again in August 2003 after over 11 years, with a 50 per cent collapse in between in 1993 and another 58 per cent fall between February 2000 and September 2001. Events like the Asian currency crisis, the nuclear test in India, the dotcom boom and bust, the 9/11 episode, and stock market scams can all be attributed, in hindsight, to the market's performance. But for an investor who experienced no gains while staying invested for a long period, the outcome may not encourage them to favour equity investing.

Investing in a stock market without volatility is an illusion. Market uncertainty can cause panic and lead to poor investment decisions. An index's performance is a broad indicator; specific stocks and MFs have done phenomenally well over the long run, with dividends and stock splits that build wealth.

SMART IDEA

Active investing requires entries and exits, which may not fit a long-term approach. Index funds or exchange-traded funds can form the foundation of long-term investing, while short- and medium-term investing may involve actively managed MFs and individual stocks

Tackling Debt

You often come across this question: would you rather receive Rs 1,000 today or Rs 1,100 a year from now? If you asked a group of people, you'd likely get mixed responses. Someone who agrees to wait a year follows the concept of the time value of money, which holds that a rupee today is not necessarily worth the same after a year because it appreciates. However, depending on one's needs, many will willingly take what they can today instead of waiting for more money in the future. People generally borrow because they do not have the money to pay for something. Easy access to loans has undermined delayed gratification.

Delayed gratification is the practice of resisting an immediate reward to secure a larger, more valuable benefit in the future. This is the core behavioural mechanism for avoiding or eliminating debt. But we all know the virtues and satisfaction of living in the present. Borrowing to purchase a home to live in or to educate your child is acceptable. In fact, borrowing is well understood and even healthy as long as you repay in time without delays or default. It is difficult to understand how much debt is good, especially when you face higher interest rates and rising living costs. Sandwiched, a borrower often knowingly defaults on loan repayments.

Just as knowledge is not enough to make healthy food choices, understanding the cost of a loan or the financial implications of default and delays is not well understood till one actually faces it. Somehow, people tend to overspend or borrow beyond their means instead of spending responsibly. It's normal to accumulate some debt during a difficult time. Many institutions and experts can help you manage debt by prioritising repayment. As soon as you realise you are in a tough spot, seek help instead of borrowing more.

Financial success is a dream many of us share. It gives us the financial freedom to enjoy life and the peace of mind that comes with it. However, the journey to financial success is not easy. We face uncertain times, obstacles, risks and challenges. To survive them, we need to improve our financial efficacy.

Everyone's situation is unique, and individual resources vary. Good financial outcomes are linked to controlling your emotions, managing risk, building self-confidence and strengthening problem-solving skills. Economic cycles change over time, and trying to predict their movements is futile. Instead of reacting to every headline, focus on the bigger financial picture, prioritise what matters to you and create a roadmap that helps you stay focused on your goals, even when outside conditions feel unpredictable. Uncertainty is not a flaw in financial planning; it is the condition that planning exists to manage. When you expect and account for uncertainty, financial decisions become less fragile and more adaptable. ■

SMART IDEA

A strong desire to have everything now isn't necessarily bad. Using the free credit cycle smartly is a go-to strategy for many credit card users. Before taking on debt, make sure you understand the worst-case scenario. Never borrow if you are already spending more than you make